

sites have become enablers for small businesses and for many it is a key part of their marketing strategy. What is the impact on the profitability for such brands however remains to be seen. While businesses now get an opportunity where huge volumes of customers come to try their products, many customers claim that they do not receive the same level of 'service' that full-paying customers do which means that instead of creating a base of repeat customers. This has created a new segment of customers that hop from business to business seeking the next best deal.

As e-commerce in India continues to grow, there are several 'luxury' players that also now want a piece of the online shopping pie. There are websites today such as Excluzen.com, Fashionanyou.com as well as caratlane.com where one can buy couture fashion the likes of Jimmy Choo and Cavalli, limited edition accessories and handbags as well as pure diamond jewellery online with price ranges being anywhere from Rs 10000 – Rs 5 lakh per item. To reduce the risk associated with making such high value purchases online and to entice customers, these websites not only offer discounts upto 25% of the retail price but some also have EMI facilities. Moreover, some fashion retailers have opened 'experience lounges' for their customers to try the product before purchasing their order.

E-commerce is now part of everyday vocabulary and people are buying everything from a photo print to a plane ticket online. In 2012, some say that e-commerce has come of age while others say that it is still at a nascent stage in India. However, one thing is clear - This decade is likely to be the decade of e-commerce.

Here are some thoughts from the market leaders on the e-commerce revolution in India:

"When 99labels first started out, we were entering an e - market which largely catered to online ticketing and banking functions. Online shopping for fashion was not popular in India, despite being a rage abroad with sites like Gilt, Fab and Vente- Privee catering to online fashion shoppers. Also, e-commerce in India had a mainly male member base. All of these factors have changed with time" – Ishita Swarup, CEO and Co-Founder, 99Labels.com

"With the popularity of social networks increasing and with the introduction of smartphones/tablets, the E-Commerce space has witnessed a complete transformation. Retailers are preparing for a splurge in online sales this year, with nearly 60% of shoppers expected to spend more money in 2012" – Praveen Sinha, Co-Founder, Jabong.com